attention to avoid ‘treading on toes’ of the Tata veterans who led the large companies. At the time of working on Plan 2.0, Ratan still had a couple of years to go before he took over as chairman, Tata Sons.

Thus, as the last decade of the twentieth century dawned, Ratan had, through two of his Strategic Plans, laid down a blueprint for the Tata Group companies to meet the challenges of economic liberalization and seize the opportunities it offered. As future events would testify, these two plans primarily guided more than two decades of phenomenal growth of the group under his leadership. In essence, they were the beginning of what would become the largest reorganization in India’s corporate history.

Winds of Change

As it happened, the V.P. Singh government lost its majority after eleven months in power. After an interim government that followed had also fallen, general elections were held barely two years after the previous one. Rajiv Gandhi was assassinated while campaigning for these elections. In June 1991, P.V. Narasimha Rao formed a Congress government at the Centre. Soon he, along with Finance Minister Manmohan Singh, ushered in an economic revolution.

The Rao government announced the New Industrial Policy in July 1991, barely thirty-three days after it was sworn in. It removed many restrictions on Indian industry that fettered competitiveness. Except for six specific sectors of the economy, industrial licencing was abolished. Many of India’s largest industrial houses were unprepared for the sudden efflux of foreign companies that eyed the large Indian markets. But the Tata companies were better placed to take advantage of the new policies as some of them had been modernizing from the 1980s after selectively adopting Ratan’s recommendations.

After Ratan took over as group chairman, without loss of time, he turned his attention to addressing the weaknesses of the companies. ‘Mr Tata set about streamlining [the companies] with a vengeance,’ commented *The Economist*.

He engaged McKinsey & Company to assess the state of the group and advise on the steps needed to grow in the liberalized regime. They submitted a confidential memorandum to the Tata Sons board in September 1997, which painted a bleak future for the House of Tatas.